DEAL INTELLIGENCE

Berkadia's $35.5M Castro Valley Sale: Value-Add Multifamily Trades Only When the Underwriting Is Defensible

The deal shows that value-add multifamily liquidity exists, but only for assets with a basis that lets the buyer underwrite downside.

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A source-grounded Light Tower Insight. The complete note follows.

The $35.5 million sale of The Cedars and Creekside Terrace in Castro Valley, California, begins with a more revealing fact than the price: the buyer, Prime Residential, secured a seven-year, fixed-rate Freddie Mac loan with full-term interest-only payments. That financing structure is not a detail. It is the condition that made the deal possible.

Felson Cos., the original developer, sold the two neighboring value-add properties to the San Francisco-based buyer for $21.4 million and $14.1 million, respectively. Berkadia represented both sides. The seller got liquidity. The buyer got a basis and a debt structure that together make the underwriting work.

The transaction matters because it shows that value-add multifamily capital is not flowing broadly. It is flowing to specific assets where the buyer can defend the entry price, the lender can underwrite the stabilized cash flow, and the debt terms buy enough time for the business plan to play out. That is a narrower market than the headline suggests.

The Cedars, at 22240-22302 Center Street, offers 83 one-, two-, and three-bedroom units with two pools, an outdoor courtyard, a fitness center, and covered parking. Creekside Terrace, at 22180 Center Street, has 52 units of similar mix, plus a pool, dry sauna, outdoor courtyard, fitness center, and covered parking. Both are value-add plays: the buyer is betting that capital improvements and rent growth will push net operating income above the purchase basis.

What makes this deal work is the debt. A seven-year, fixed-rate Freddie Mac loan with full-term interest-only payments gives Prime Residential two things that value-add buyers need most: payment stability and time. The fixed rate removes the refinancing risk that has crushed so many floating-rate deals over the past two years. The interest-only period means the buyer is not amortizing principal during the repositioning phase, when cash flow is most uncertain. The seven-year term provides a long enough window to execute the business plan and exit or refinance into a more favorable rate environment.

That debt structure is not available to every buyer on every asset. Freddie Mac is underwriting this deal because the basis is defensible, the sponsor is credible, and the properties sit in a Bay Area submarket with structural demand. Castro Valley is not San Francisco proper, but it is close enough to benefit from the region's employment base and housing shortage. The lender is not betting on a speculative rent surge. It is betting on a modest, achievable lift from a well-located asset with a professional operator.

The seller's decision is equally instructive. Felson Cos. developed these properties and held them through the cycle. Selling now, into a market where value-add multifamily still trades at a discount to peak pricing, suggests the developer saw a price it could defend and a buyer willing to close. The alternative was to hold through another year of expensive debt and uncertain rent growth. The sale is not a signal that Felson is bearish on the Bay Area. It is a signal that the bid finally arrived at a level that made liquidity more attractive than waiting.

For the buyer, Prime Residential, the deal is a test of execution. The financing gives it time, but time is not free. The interest-only period means the loan balance does not shrink. If the business plan takes longer than expected, or if rent growth stalls, the buyer will face a larger balloon payment at maturity. The seven-year term is a cushion, not a guarantee.

The broader market signal is this: value-add multifamily is trading again, but only in narrow lanes. The assets must be well-located, the basis must be low enough to absorb a slower rent recovery, and the debt must be fixed-rate and interest-only. That combination is not easy to find. It is even harder to replicate at scale.

Owners with similar assets should test whether their properties meet those conditions. If the basis is too high, the location is secondary, or the debt market demands amortizing payments, the bid may not arrive. The Castro Valley deal is not proof that value-add multifamily is back. It is proof that the right structure still clears.

SOURCES

— RE Business Online — https://rebusinessonline.com/berkadia-arranges-35-5m-sale-of-two-multifamily-properties-in-castro-valley-california/